

What is the Environmental Economics?

Environmental economics is an economic sub discipline that deals with the economic and financial implications of environmental policies. It is an evolving and widely studies disciplinary area of economics. The study of the macro-economic impacts of environmental policies helps governments make the best decisions for the larger good of society.

- The concept of environmental economics focuses on sustainable development, market failure and externalities, valuation of the environment, and strategies for environmental issues. It involves theoretical and empirical approaches to study these areas. Thus, it gives dire emphasis to both environment and economy and their correlation with each other.
- Environmental economics is defined as the "field of economics which is concerned with the financial and economic impact of the environmental policies on the economy."
- It is no longer restricted to domestic or national boundaries and requires global cooperation for efficient functioning
- Environmental economics promotes sustainable development, economic valuation of natural resources, and strategies for stability by addressing issues like externalities and other environmental concerns.
- Its objective is to balance the sustainability of the environment and economic development for the benefit of society,

Environmental Economics Explained

Environmental economics originated in the 1950s and 60s in the West. It became popular due to the increased concerns and awareness about environmental pollution which resulted from the nineteenth-century industrial revolution.

Its key objective was to understand the correlation between environment and economy. This would help make better decisions that are beneficial to the economy and have a minimal negative environmental impact.

For example, consider the example of highway construction. It will help the logistics and supply chain in the region but leads to habitat loss, pollution, etc. However, if the government could provide another habitat for the wildlife which resembles the existing one, it would cause little damage. Also, the government can plan to lay the roads using plastic waste collected around the country

It sounds like an attractive proposition. But, of course, some would claim that an artificial habitat for the wildlife would not really compensate for the original one. Yet, it would be better than just claiming the land and letting the animals wander. Hence, it is a strategy that generates minimal impact in the long run.

However, many of the strategies used currently to compensate for the adverse global environmental impacts are considered ineffective by most. These strategies include carbon offsetting, cap and trade, and carbon tax.

Current strategies

1-Carbon offsetting – The goal here is to offset or compensate for the carbon emissions. Most factories and consumers offset their carbon footprint by planting trees or taking up small-scale farming. A carbon offset credit helps us to measure the magnitude and effectiveness of this trade.

2-Cap and trade-In this method, the companies have permission to emit carbon up to a certain limit after which they need to pay tax for same for example in some countries companies have permission to emit a maximum of ones ton carbon. However, I does not provide certainty in controlling carbon emissions, and sector the environment. Big companies to keep polluting the environment.

3-Carbon tax – The government taxes the companies based on the amount of carbon produced in an effort to protect the environment. But unfortunately, the additional price passes on to the consumers, who end up paying for it. Thus, the companies do not usually take the burden.

These measures are mere compensation methods, and the harm is still done. Producing tons of carbon and planting saplings elsewhere or paying an insignificant amount is not the solution. the key is to reduce the production of harmful substances.

Using alternative sources of renewable energy, proper waste management, efficient resource allocation, and conservation of energy and other resources are the need of the hour. As a result. Natural resource and environmental economies is an area gaining momentum today.

Scope of Environmental Economics: Environmental economics extends not just domestically but also internationally because issues like global warming, climate change, etc., are not just the problem of a few but affect the world population as a whole. Therefore, attention to these five areas is essential to deal with the issue:

- **Sustainable development** It is the development strategy that meets the needs of the present without compromising the needs of the future. Thus, growth is important, but so is the sustainability of the environment.
- **Externalities** It refers to the benefits and costs arising from commercial activities for which the price is unknown. Hence, they go unnoticed in society but have huge impacts. For example, the natural resources we use for free and the pollution we cause to the environment have no association with a market price.
- **Market failure** – Externalities lead to market failure, which arises when the market doesn't represent the true cost of a good or resource. This happens because, more often, people take environment and its resources for granted.
- **Valuation of the environment** – The valuation helps assess the worth of natural resources and many aspects of environmental policies before implementing them. This will help in making better decisions in the best interests of all.
- **Strategies**- By considering all the relevant factors, environmental economists try to find solutions for the bigger problem environmental protection. Some strategies include taxing parties responsible for the pollution, offsetting, etc. But still, there's a long way to go.

Importance

- The relevance and importance of environmental economics are obvious today. As technology is fast-moving, the footprint left behind is massive. As the famous principle goes, "We do not inherit the Earth from our ancestors; we borrow it from our descendants" we should not exploit the resources at our disposal.
- The significance of environmental economics corresponds to the conservation and preservation of nature and its resources. To ensure the continued existence of life on earth and to guarantee the health and safety of living beings, we need to measure the consequences of our actions.
- It is no news that the number of species becoming extinct is increasing at an alarming rate. However, it is important to remember that we are all part of the same system, and it is not until late that there will be no life on earth one day- just poor air, water, and barren land. Realizing this hard truth, the concept of environmental economics is more important than ever. It is a subject of extensive study and research in the present world.

